

QLmonthly September 2026 ¹

Kathrin Ellieroth¹² Amanda Michaud²

¹Colby College

²FRB- Minneapolis

¹Based on Ellieroth & Michaud, “Quits, Layoffs, and Their Destinations” Institute Working Paper 94 (2024)

Contents

1. Recent Developments in Layoffs, Quits, and Job Finding
 - ▶ Modest rise in layoffs.
 - ▶ Quits continue climb.
 - ▶ Prime age job finding rates show marked decline
2. This Month's Special Topic:
 - ▶ Is unemployment a good indicator of slack?
 - ▶ Update on the role of participation decisions in tilting unemployment.

Layoffs tick up, unemployment flat

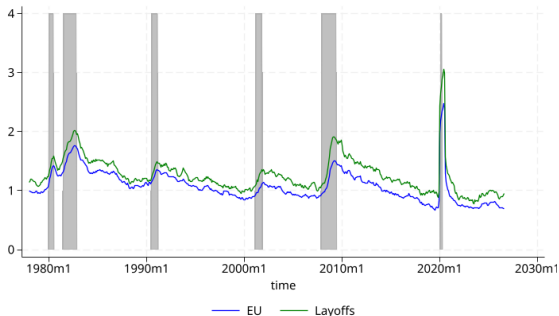


Figure: Prime age monthly Employment to Unemployment (E-to-U) flows and layoffs to non-employment from CPS household survey.

- ▶ Last few layoff readings ticked higher.
 - ▶ Too early to say if this rise is a one-off or will be sustained.
- ▶ Unemployment remains flat as a growing share of laid-off workers exit the labor force.

Quits continue recent rise

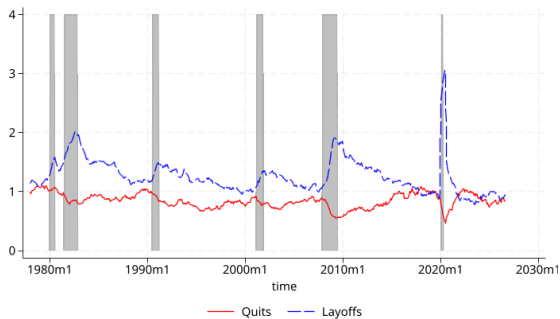


Figure: Quits and Layoffs to non-employment

- While volatile, Aug's quits were the second highest in two years.

Job finding rates fall

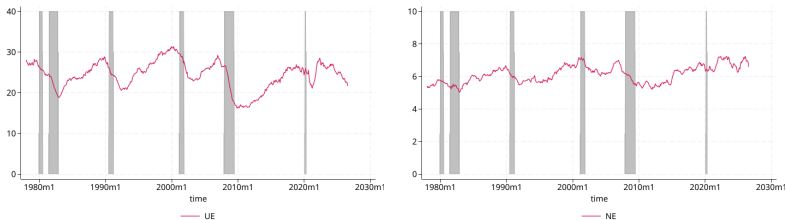


Figure: Job finding rates from unemployment (left) and non-participation (right) for Prime Age Workers

- ▶ Job finding rates are lower than last year.
- ▶ Job finding rates for the working-age population (16 years +) stable.
- ▶ Levels of job finding rates are within pre-pandemic range.

What do we make of this?

Recap: Household survey (CPS) indicates:

- ▶ Job finding rates fell and layoffs rose in the summer of 2026.
- ▶ Quits remained on a path of slow growth.

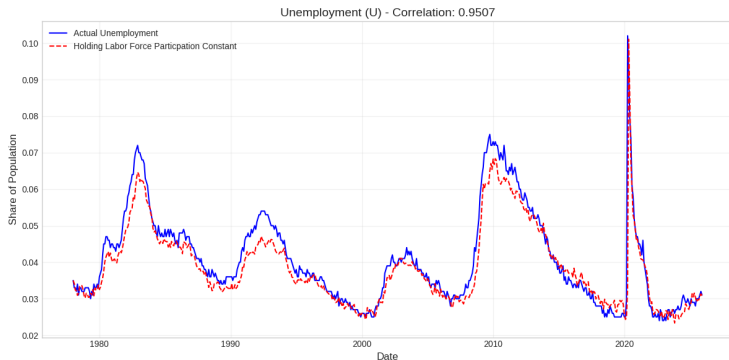
Our view:

- ▶ We were early predictors of labor market improvement when we saw quits and layoffs turn the corner in 2025
- ▶ We are NOT ready to claim a tightening trajectory based on the recent rise in layoffs.
- ▶ The rise was concentrated in June and July with August showing a reversal to typical 2026 levels.

Discussion of the Month

Is the Unemployment rate a good indicator of slack?
Revisiting the role of Labor supply.

Participation no longer distorts measured unemployment.



- ▶ No more bias from changing participation decisions: the participation neutral and true unemployment series now move together.
 - ▶ Our participation neutral series holds fixed the rate of exit after a layoff and flows between U and N at rates that minimize the distance to the true unemployment series.
 - ▶ **It is a good measure.** In 2024-25, we showed that rising labor force exits after layoffs had pulled down the prime-age unemployment rate.

Recent decline in participation is not discouragement.



- ▶ No increase in nonparticipants who want a job (not counted in unemployment).
 - ▶ Our paper: "[What Quits and Layoffs Reveal about the Business Cycle](#)" shows these data are historically good– they measure unutilized labor as predicted by a full quantitative theory model.

Is unemployment a good indicator of slack.

YES.

Our concerns about participation bias are no longer appearing in the data.